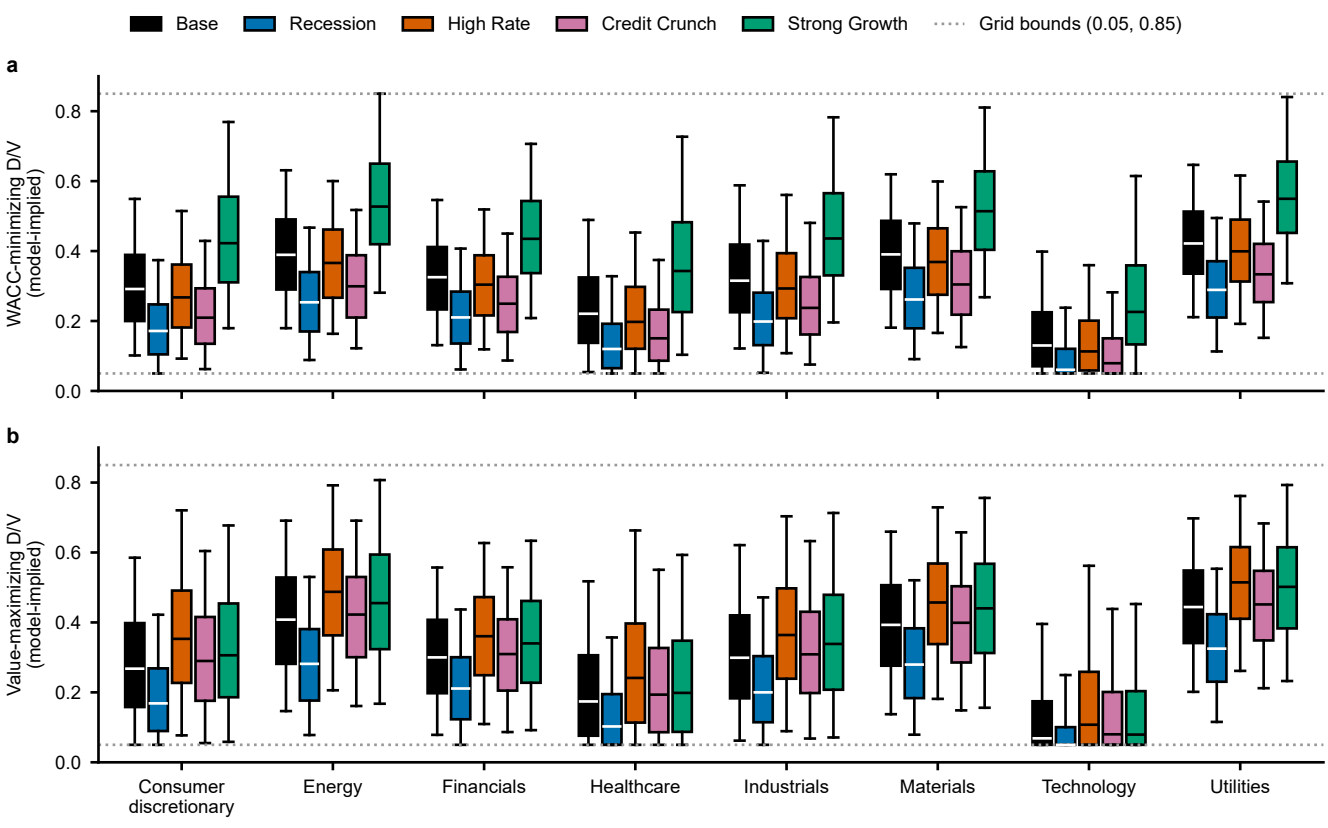
Base
Recession
High Rate
Credit Crunch
Strong Growth
Grid bounds (0.05, 0.85)
a
WACC-minimizing D/V
(model-implied)
0.0
0.2
0.4
0.6
0.8
b
Value-maximizing D/V
(model-implied)
0.0
0.2
0.4
0.6
0.8
Consumer discretionary
Energy
Financials
Healthcare
Industrials
Materials
Technology
Utilities